AFMR

Transaction 3.5

Following is the information extracted from Trail Balance of Shri Ram at 31st March 2020,

Particulars	Amount Dr	Amount Cr
Capital Account/Drawing	6,000	41,000
Plant and Machinery	51,000	
Office Furniture	2,600	
Stock, 1 April 2019	48,000	
Motor Van	12,000	
Sundry Debtors/Creditors	45,000	52,000
Cash In Hand	400	
Balance at Bank	6,500	
Wages	1.50,000	
Salary	14,000	
Purchase/Sales	2,13,500	4,80,000
Bills Receivable	7,200	
Bills Payable	-	5,600
Returns	9,300	5,500
Provision for Doubtful debts		2,500
Rent	6,000	
Lightning	800	
Telephone	1,350	
Insurance	300	
Advertisement	6,350	
General expenses	1,000	
Bad Debts	2,500	
Discount	6,500	3,700
Total	5,90,300	5,90,300

Prepare P&L Statement and Balance sheet.

The Following adjustments are to be made:

a) Stock- 31st March 2020 is Rs 52,000
b) Rent due but not paid, till 31st March Rs 2,000

c) Lightning due but not paid till 31st Match 2020, Rs 300
d) Insurance paid in advance Rs 100
e) Depreciation – to be written off:
    a. Plant and Machinery @ 33-1/3 %
    b. Office furniture @ 10%
    c. Motor Van @ 33-1/3%
f) The provision for doubtful debts has to be increased to Rs 3,000
g) Discount at 2-1/2% on Debtors are to be provided.